

IIBF. The governing council of IIBF includes SBI Chairman Dinesh Kumar Khara as chairman and the CEOs of other PSBs as members. Initially, IIBF asked the banks to impart the training. But the requirement was so large that the IIBF empanelled close to two dozen private institutes across the country. After training is completed by empanelled institutes, the IIBF conducts an examination. “We have trained 300,000 agents since the beginning. Last year, it was around 30,000-plus,” says Biswa Ketan Das, CEO of IIBF.

Since graduates don’t join recovery agencies to build a career, the industry ends up getting low-qualified workers. And, IIBF is now getting requests to reduce the minimum qualification from 10th standard. “We are not in favour of changing it at this moment. We are, however, re-looking at increasing the soft skills training,” promises Das. However, these ‘training facilities’ are nothing to speak about. In this digital age, most of them don’t even have a website. They also mirror the ramshackle infrastructure of recovery agencies. Swabhiman Academy of Banking and Finance in Mumbai, which claims to have 43 other centres, has its office located in a shop in Ghatkopar. There are also instances of institutes outsourcing the training work. In November 2021, IIBF had to issue a warning to its empanelled institutes. Plus, of the nearly 10,000 NBFCs in India, only two large ones—Bajaj Finance and HDB Financial—have taken accreditation from IIBF to train their own staff.

56 | There are glaring gaps in training and the examination module as the focus is on banking terminology, products, penal charges, etc. “The debt recovery agent (DRA) course talks about how a cheque instrument and electronic clearing system work. The content is two decades old,” says a private banker on condition of anonymity. Das, however, says IIBF refreshes the training and tests every three years.

There is also a need to overhaul the content on soft skills for dealing with borrowers like women or senior citizens. “Today, 40 per cent of the training is on soft skills,” says N.K. Mishra, an ex-banker who runs the Chhattisgarh-based Abhiyan Academy. Currently, the training for DRAs takes place online, which also raises questions about the attentiveness of candidates. “You need different expertise or tools to teach online, especially soft skills. There are AI tools to see whether all students are attentive in the video. But these institutes don’t have the capital to deploy these,” says a consultant. There should be situational videos on how to behave with difficult or sensitive customers. “There are hardly any workshops or public seminars to discuss recovery issues,” complains a new-age tech player. IBA refused to participate in the story.

RBI’S HANDS-OFF APPROACH

The bank and recovery agency are in a principal-agent relationship. RBI insists that banks must ensure that these agencies or their employees are properly trained on the fair practices code. “The regulator holds the principal accountable



DESOLATE AND DESPERATE The office of Swabhiman Academy of Banking and Finance, which trains recovery agents, is located in a shop in Mumbai’s Ghatkopar; (right) bears a deserted look



“The whole lending process is now digital... but collection and recovery remain stuck in the past. As banks and NBFCs are working with more sophisticated clients, the number of complaints has increased”

MANAVJEET SINGH
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